

We forecast the earnings of every company we follow for three or four years out. I like to invest in companies that are cheap relative to their sector, but where we are forecasting earnings above consensus for the next few years. The catalyst I monitor for a stock to realize value is earnings surprise. In the case of Apple, we are forecasting earnings 50 or 60 percent above the street for the next three or four years. Although Apple is currently trading at 16 times forward prospective earnings for 2011, based on our forecasted level of earnings for 2014, it is only trading at 4.8 times earnings. Apple is one of the fastest-growing companies in the world, with one of the best management teams, trading at less than five times earnings based on our future earnings projections, and with \$150 billion net cash by 2014, which is nearly half of its market cap. We currently have 20 percent of our portfolio in Apple.

Given all those bullish fundamentals, why hasn't Apple performed better?

One reason it is not performing at the moment is because it has gone up a lot, so investors think they can't buy it. But the main reason is that all that the analysts in the U.S. seem to be focused on is that the next iPhone may be delayed for a few months. They think that is bad. It is not bad at all. The reason Apple is so brilliant is because their execution is outstanding. Would they prefer if Apple came out with their next iPhone version early and did what RIMM [Research in Motion Ltd.] has done with the PlayBook, the new tablet they have for the BlackBerry, which is one of the most suicidal pieces of rubbish ever put out? RIMM will probably go bust in the next three or four years.

Why is that?

Because they keep on having incompetent product launches. For example, they're bringing out a new tablet, and you can't even use it for e-mail. And this is a product that is targeted for the corporate market! That is like producing a car with no engine or wheels. It is literally as bad as that. It shouldn't have come out for at least another year. The reason they rushed it to market, even though it is not ready, is that the Apple iPad 2 is such a big advance that it has helped Apple break into the corporate market. Now businesspeople are saying, I don't want my